SKEMA / CORPORATE TREASURY MANAGEMENT

UBS s 2011 Rogue Trading Scandal

From Operational Failure to Treasury Decisions

CRO / CFO perspective 14 September 14 December 2011

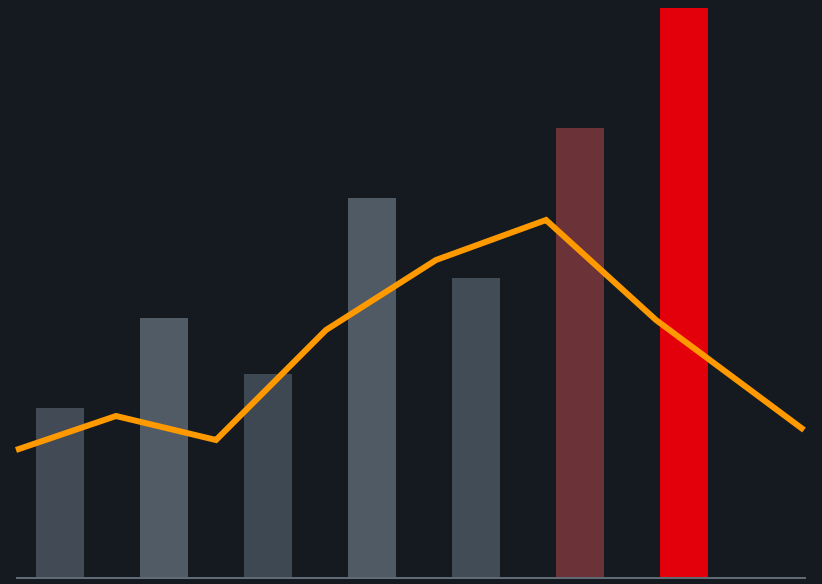
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Prepared as a Canva-ready, source-led presentation base

RISK COMMITTEE BRIEFING

Hidden exposure becomes a Treasury question



The question is not only how much was lost?
but what cash must Treasury mobilise, and when?

The decision: protect payment capacity through the next three months

CENTRAL QUESTION

How should UBS Treasury preserve liquidity and meet obligations after concealed trading losses are discovered?

01 WINDOW

14 Sep 14 Dec 2011

Daily detail in the first week; weekly / monthly thereafter.

02 LENS

Treasury advising the CFO

Accessible cash, payment timing, currencies, legal entity and buffer.

03 EVIDENCE

Facts model inputs

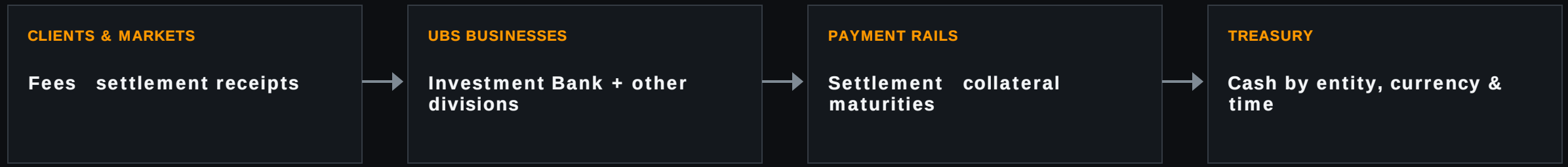
Published facts, derived calculations and assumptions are visibly separated.

Method: use later regulatory findings to explain the incident, but do not treat hindsight as information available to Treasury on 14 September.

Presenters: Introduction Paul Alain Company / incident Calvin Cash Jules Quant Elias Risk Paul Alain CFO actions Jules Conclusion Calvin

Sources: [1] FINMA Summary Report; [2] FSA Final Notice. Scope and scenarios are analytical.

Liquidity is a timing problem not a synonym for profit



CASH IN

Client and market receipts
Trading settlements due to UBS
Funding proceeds and asset maturities

CASH OUT

Withdrawals and lending commitments
Trade settlement and collateral calls
Debt maturities and operating payments

Only cash that is accessible in the right entity, currency and time can meet an obligation.

Source: [1] FINMA report 6 10; simplified Treasury cash-cycle diagram (not a UBS ledger).

Discovery, disclosure and containment were different moments

14 SEP 2011

UBS identifies unauthorised positions; Adoboli arrested.

15 SEP 2011

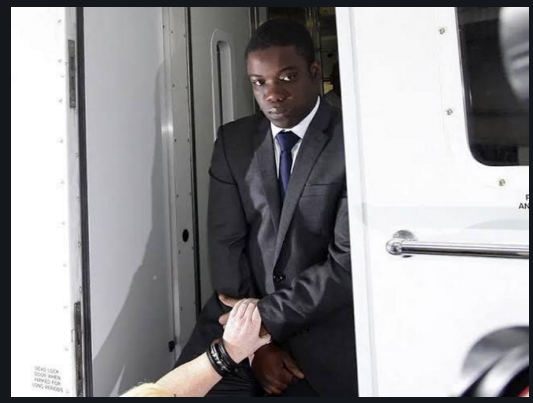
UBS publicly estimates ~USD 2bn; says no client positions affected.

18 SEP 2011

UBS states the positions are covered; equities business within limits.

25 OCT 2011

CHF 1.849bn P&L + CHF 102m FX translation; CHF 1.951bn total (~USD 2.229bn).



Kweku Adoboli press image
User-supplied classroom material

Later hindsight: regulators published detailed findings in 2012; keep these separate from the information available to Treasury at discovery.

The reported USD 2.3bn loss is not the same thing as a same-day cash funding gap.

Sources: [1] FINMA; [2] FSA; [3] UBS 2011 announcement record. Press image supplied by user; attribution / reuse rights to verify.

Fictitious offsets hid real market exposure in the control systems

REAL POSITIONS

Large index futures
Real market exposure
Real gains / losses

→

FALSE OFFSETTING ENTRIES

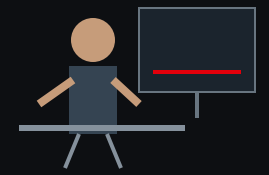
One-sided internal futures
Late booking of real trades
Fictitious
deferred-settlement ETFs

→

APPARENT CONTROL VIEW

Reported risk looked offset
Reported P&L could be smoothed
Breaks and alerts were not escalated

The hedges had no economic reality and no external risk position: they changed the system picture, not the underlying market exposure.



ILLUSTRATIVE TRADER

Sources: [1] FINMA 11 18; [2] FSA 23 25.

The failure was a chain across supervision, systems and escalation

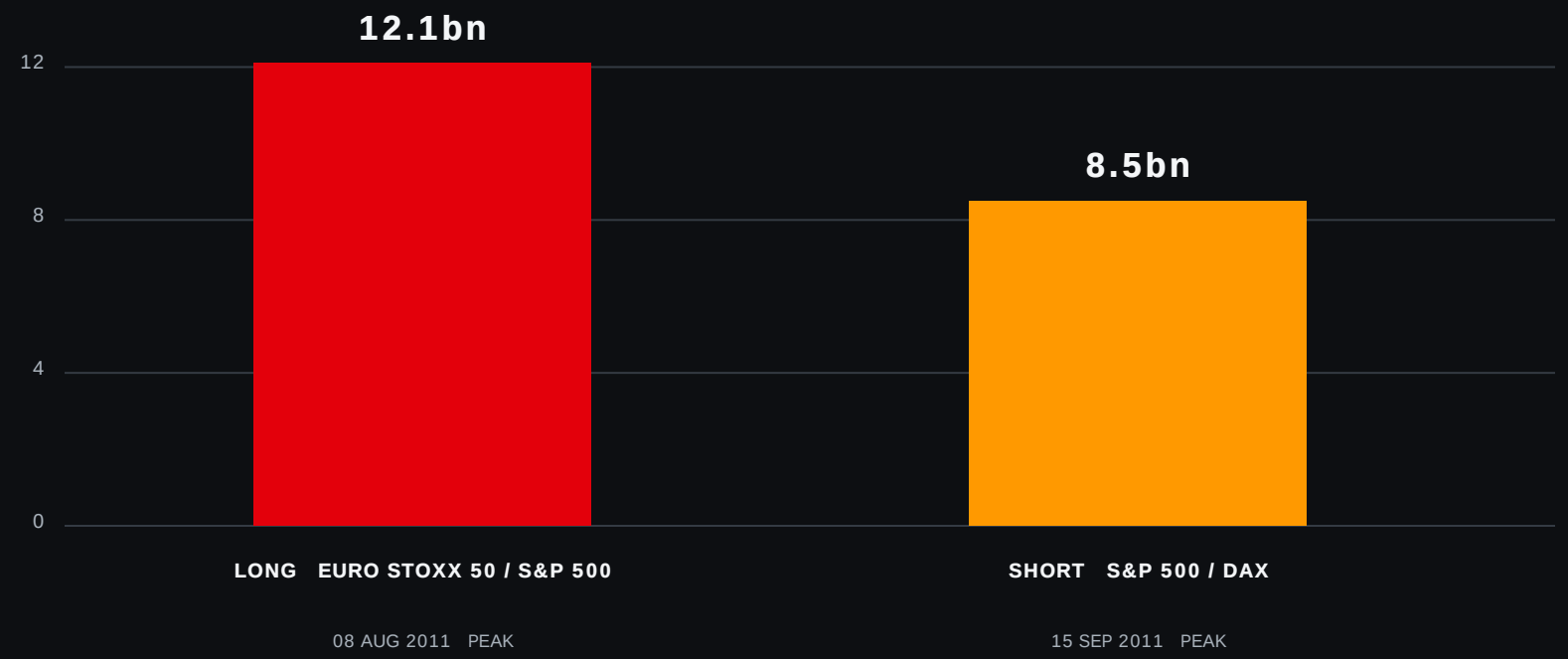
SUPERVISION	Desk transfer to GSE was not matched by a clear local handover; the new supervisor was in New York.
SYSTEMS	Futures data / cancelled-amended-late trade alerts were incomplete or routed incorrectly.
OPERATIONS	Large reconciliation breaks and explanations were accepted without timely challenge or escalation.
P&L CONTROL	Material P&L adjustments and fictitious trades were processed without adequate independent scrutiny.

Regulatory conclusion: warning signs existed; control functions did not assemble them into a timely challenge.

Sources: [1] FINMA 23 41; [2] FSA 26 42.

FINMA reported two large gross-notional peaks and a USD 2.3bn loss

Reported futures position peaks (USD billions notional)



FINAL REPORTED LOSS

USD 2.3bn

Gross notional is not the same measure as P&L, net delta or liquidity need.

USD 2.1bn of the final loss arose from the long positions; the short positions were closed after discovery.

Source: [1] FINMA Summary Report 11. Bars show reported gross notional peaks not P&L or net-delta risk.

A trading loss can transmit to cash but not dollar for dollar on day one

1 PERMANENT

Realised trading loss
Investigation / remediation
Reported USD 2.3bn total

ECONOMIC LOSS

2 TEMPORARY

Settlement timing
Collateral posted then returned
Funding cash tied up

CASH TIMING

3 CONTINGENT

Withdrawal / confidence pressure
Funding rollover repricing
Counterparty terms

STRESS SCENARIO

Treasury implication: model the timing and recoverability of each cash item. Do not deduct the USD 2.3bn headline again if the same close-out settlement is already included.

Sources: [1] FINMA position close-out; [3] UBS states risk was covered. Potential cash channels are scenarios unless verified.

Build a 13-week cash view from accessible not total cash

CLOSING CASH = OPENING ACCESSIBLE CASH + RECEIPTS PAYMENTS + CONFIRMED FUNDING

Funding gap = max(0, minimum buffer pre-funding cash)

OPENING	BASELINE	INCIDENT	BUFFER	FUNDING
Accessible cash by entity / currency	Receipts, contractual payments, maturities	Trade settlements, collateral posted / returned	Minimum liquidity buffer and policy rationale	Confirmed source, amount, timing, conditions

Perimeter discipline: cash trapped in another legal entity, currency or settlement window is not immediately available headroom.

PUBLISHED FACTS | DERIVED CALCULATIONS | MODEL ASSUMPTIONS

Model design; actual UBS daily cash ledger and entity-level liquidity inputs are not public in the sources reviewed.

The bridge is a decision tool; public sources do not reveal UBS s daily funding gap

MODEL LINE	WHAT TO LOAD	CONTROL AGAINST DOUBLE COUNT
Opening accessible liquidity	Cash by entity, currency and 14 Sep cut-off	Do not use consolidated cash as a proxy.
Scheduled receipts / payments	Settlement calendar, maturities, operating obligations	Carry forward prior-period closing cash.
Incident settlement	Trade-level close-out and settlement cash dates	Do not subtract the headline loss twice.
Collateral movements	Calls, releases, haircut and return dates	Separate posted cash from recoverable collateral.
Funding and buffer	Committed sources, execution time, policy minimum	Count only sources accessible before the breach.

Deliverable from the model: lowest cash, first buffer-breach date, peak funding gap, and whether funding can arrive in time.

Evidence note: public reports establish the loss and close-out, not the Treasury s daily accessible-cash ledger.

Stress timing and access not just the size of the loss

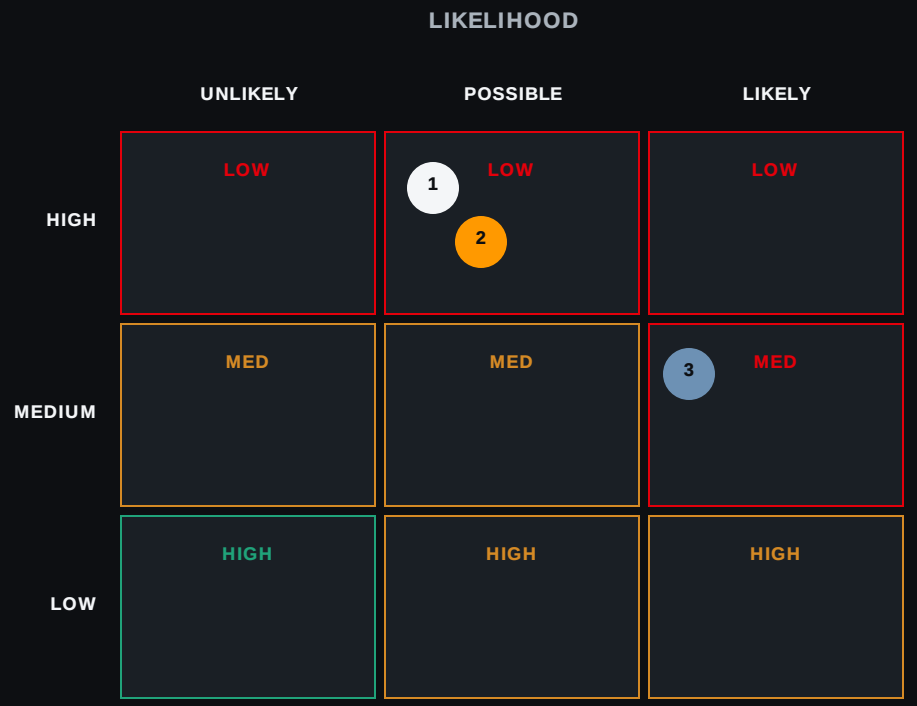
BASE	Normal settlement timing; collateral returned as scheduled; funding rolls as contracted.
SETTLEMENT	Close-out cash need arrives earlier or is larger than the base schedule.
COLLATERAL	Return of posted collateral is delayed; haircut or dispute reduces near-term availability.
CONFIDENCE	Partial funding non-renewal plus faster client cash outflows.

REPORT THE SAME FOUR OUTPUTS IN EVERY CASE

Minimum cash Buffer breach date Peak funding gap Funding lead-time shortfall

Stress cases are analytical assumptions; calibrate with Treasury data before presenting numeric outputs.

Prioritise the residual risks that could breach the buffer



P1 **Residual hidden / unreconciled positions**

High impact possible

P2 **Settlement or collateral shortfall**

High impact possible

P3 **Funding rollover / confidence**

Medium impact likely

Scoring basis: likelihood over the 3-month horizon impact on liquidity headroom; the incident itself is known, future residual exposure is what is scored.

Illustrative management scoring (1 3), not UBS or regulator ratings; recalibrate with the cash model and post-close-out facts.

Action 1 Secure verified liquidity before any modelled breach

GROUP TREASURER **24-hour initial cash verification** **Daily 13-week forecast**

BENEFIT

Know the lowest cash point and exact timing of any buffer breach.

CONSTRAINT

Entity / currency accessibility, collateral eligibility, execution lead time.

FALLBACK

Pre-approved secured funding or other confirmed source only if available in time.

Trigger: pre-funding cash forecast falls below the policy buffer before a committed source can settle.

Owner, deadlines, benefits and fallback are proposed actions not historical UBS facts.

Actions 2 3 contain the position risk, then make concealment harder

02 CONTAIN & RECONCILE

Owner: Investment Bank COO + Market Risk + Treasury

Immediately reconcile external positions, unmatched trades, breaks and collateral.
Benefit: reduce uncertainty in cash obligations.
Constraint: close-out liquidity and settlement timing.
Fallback: conservative liquidity overlay until reconciled.

03 REBUILD CONTROL EVIDENCE

Owner: CRO + COO; Internal Audit validates

Independent trade confirmation; C/A/L exception escalation; limit-breach challenge; clear desk supervision.
Benefit: detect and stop concealed exposure earlier.
Constraint: systems, staffing and change time.
Fallback: dual sign-off, manual reconciliation and tighter limits.

Proposed actions aligned to regulator findings [1] [2].

CFO decision: protect headroom, but do not confuse loss with cash need

The USD 2.3bn trading loss is established. A breach of payment capacity is not established by that figure alone.

DAILY FIRST WEEK	Accessible cash settlement queue collateral due / returned unresolved trades
WEEKLY TO 14 DEC	Buffer headroom funding maturities forecast variance stress funding lead time
ESCALATE WHEN	Forecast cash < buffer; unresolved material break; exposure / settlement is not reconciled

Decision rule: act on the timing of the forecast funding gap; preserve a verified backstop and close the control loop.

Conclusion is based on disclosed loss and controls; actual daily Treasury cash position remains unpublished.

Evidence register what is known, what is modelled

[1] FINMA	Summary Report: UBS London trading losses, 21 Nov 2012. Position peaks, concealment methods, risk-control findings.	OPEN SOURCE
[2] FSA / FCA	Final Notice: UBS AG, 25 Nov 2012. USD 2.3bn loss, desk limits, and control failings.	OPEN SOURCE
[3] UBS	Supplement No. 2, 11 Oct 2011. Initial estimate, later USD 2.3bn update; risk covered by 18 Sep.	OPEN SOURCE
[4] UBS	Third Quarter 2011 results / presentation materials, 25 Oct 2011. CHF / USD reported loss components.	OPEN SOURCE

Data integrity: reported facts are cited; model equations are derived; cash balances, daily flows, and any normalised exposure path must be supplied or labelled as assumptions. The user-supplied press image s reuse rights should be checked before publication.